

Dipti Deshpande, Principal Economist at Crisil, points out that with the conflict now continuing beyond two months, significant disruption of energy infrastructure resulting in energy price spikes and shortages will impact industrial output. “Similarly, high energy prices will drive up domestic inflation. Second round effects through higher input costs are also seen seeping into core inflation,” she adds.

The World Bank Group’s latest Commodity Markets Outlook in April warned that energy prices are set to surge to a four-year high of 24% in 2026 and overall commodity prices by 26% this year driven by soaring energy and fertiliser prices as well as higher prices of several metals. In fact, it has projected fertiliser prices to jump up by 31% in 2026, led by a 60% rise in urea prices.

Such forecasts clearly don’t bode well for India, which is the third-largest energy importer and depends heavily on West Asia for fuel, gas and fertilisers supplies.

The World Bank expects India to grow by 6.6% this fiscal. Aurélien Kruse, Lead Economist of India at World Bank, in an interview to *BT*, says that India is a net importer of energy and so it’s clear that there’s going to be an impact of the war on the economy. He, however, points



NR BHANUMURTHY
DIRECTOR, MADRAS
SCHOOL OF
ECONOMICS

“Due to high oil prices, there will be an impact on the fiscal deficit. The Centre will either have to expand the target for the deficit or cut down on expenditure”

out that net energy imports as a share of GDP is only about 3% for India compared to several other economies.

DEFICITS UNDER PRESSURE

Along with a rising fuel bill, the surge in oil prices has also led to further depreciation in the rupee, making im-

BALANCING THE PAYMENTS

- PM Modi has urged people to spend less on petrol, diesel and gold and curb foreign travel to save forex

- The current account deficit may rise to 2% of GDP in FY27

- High gold imports and rising prices have been a drag

SPENDS ON FOREIGN TRAVEL HAVE FALLEN THIS FISCAL

